

Financial Year:

**NYS Beekeeper Tech Team**

# Inventory & Financial Analysis Handbook

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|                 |                   |
|-----------------|-------------------|
| Name:           | Business Name:    |
| Street Address: | City, State, Zip: |
| Phone:          | Email:            |



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This handbook is designed for double-sided (duplex) printing.

# Inventory & Financial Analysis for Beekeepers

## Introduction

An inventory is a list of all the productive resources that a business owns and uses to generate income. This list includes not only the type and quantity of each asset, but also the economic value. A complete inventory of business assets provides one possible answer to the question: **How much is my business worth?**

Used as a verb, inventory also refers to the process of creating such a list. Beekeepers who inventory their assets once a year are able to analyze and track business performance with greater precision. An up-to-date inventory allows the owner to communicate the value of their business to prospective lenders and investors. It also helps owners manage risk by selecting appropriate insurance products and, in the event of unexpected damages, filing insurance claims. To experience these benefits, an annual inventory must be carried out in a systematic way.

**The goal of this handbook is to provide a step-by-step guide for owners and managers to inventory a beekeeping business.** It provides space to record inventory values at the beginning and end of a financial cycle, which typically coincides with a calendar year. Following the procedure outlined in Part 1 will ensure that the inventory is complete and consistent with financial standards for farm businesses.

For those interested in a deeper understanding of their financial picture, Part 2 provides a framework for constructing financial statements and calculating indicators of business performance. This section defines solvency, liquidity, profitability, and financial efficiency, and instructs the user how to calculate and interpret these key metrics. Part 2 utilizes inventory values from Part 1, and includes additional information about business revenues, expenses, and liabilities, to evaluate the overall health and stability of a beekeeping business.

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## Glossary

**Accounts Receivable.** Amounts owed to a business by its customers for products and services already delivered. In other words, outstanding invoices. Considered a current asset on the balance sheet.

**Accrual Accounting.** An accounting method that records revenues when goods and services are produced, and expenses when production costs are incurred, regardless of when cash changes hands.

**Accrual Adjustments.** Accounting adjustments made at the end of a financial period to go from cash accounting to accrual accounting.

**Accumulated Depreciation.** The total depreciation expense associated with a noncurrent asset. Equivalent to the annual depreciation expense multiplied by the number of years the asset has been in service.

**Asset.** A productive resource with economic value that a business owns and uses to generate income.

**Balance Sheet.** A financial statement that reports business assets, liabilities, and net worth at a specific moment in time. Also called a Net Worth Statement.

**Book Value.** The value of an asset on the balance sheet, calculated by subtracting accumulated depreciation from the original cost.

**Cash Accounting.** An accounting method that records business transactions when cash changes hands, regardless of when the revenues and expenses were incurred.

**Current Assets.** Cash and all other assets that a business expects to convert to cash or use up in normal business operations within 12 months.

**Current Liabilities.** Financial obligations that must be paid within 12 months. This includes the portion of noncurrent liabilities due within 12 months.

**Depreciation.** The reduction in value of a long-term business asset over time as it is used in normal business operations.

**Equipment.** Tangible assets that a business uses over multiple years to produce goods or services. Examples include tools, machines, hive woodenware, vehicles, and electronic devices.

**Equity.** The value of an ownership claim to a business. Owner equity is synonymous with net worth, and refers to the value of the owner(s)'s stake in a business.

**Expenses.** The costs of producing and selling goods and services.

**Fair Market Value.** The price that an asset would be expected to fetch in the marketplace, given a reasonably interested buyer and seller.

**Fixed Asset.** A tangible asset that has an expected useful life greater than one year, and is not easily converted into cash. Sometimes called property, plant and equipment (PP&E).

**Income Statement.** A financial statement that reports the total value of farm production, the total cost of production, and net farm income over a specified period of time. Also called a Profit and Loss Statement.

**Intangible Asset.** A business asset that does not have physical form. Common examples include intellectual property (patents, trademarks) and public opinion (brand loyalty, goodwill).

## Glossary (continued)

**Inventory.** A systematic list of all the productive resources that a business owns and uses to generate income. Also refers to the process of creating such a list.

**Liability.** A financial obligation that must be met in the future through the transfer of cash, goods, or services.

**Liquidity.** A measure of the extent to which a business has cash on hand, or other assets that can be quickly converted to cash, in order to meet immediate and short-term financial obligations without disrupting normal business operations.

**Machinery.** Tangible assets made up of multiple parts that use mechanical energy to produce goods or services. A subcategory of equipment. Examples include honey extractors and vehicles.

**Net Farm Income from Operations (NFIFO).** Another name for farm profit, defined as the total value of farm production for a given year minus the total cost of production in that year.

**Net Worth.** The difference between total assets and total liabilities equals net worth. Net worth is synonymous with owner equity, and reflects the value of the owner(s)'s stake in a business.

**Net Worth Statement.** A financial statement that reports business assets, liabilities, and net worth at a specific moment in time. Also called a Balance Sheet.

**Noncurrent Asset.** Any asset that has an expected useful life greater than one year.

**Noncurrent Liability.** Any financial obligation due beyond the next 12 months.

**Prepaid Expense.** A future expense that has been paid in advance. Common examples include insurance premiums and some taxes. Considered a current asset on the balance sheet.

**Profit.** Farm profit is defined as the total value of farm production less the total cost of production over a specified period of time. Synonymous with Net Farm Income from Operations (NFIFO).

**Profit and Loss Statement.** A financial statement that reports the total value of farm production, the total cost of production, and net farm income over a specified period of time. Also called an Income Statement.

**Real Estate Improvement.** A building or other infrastructure development that is permanent in nature and adds value to the property. Examples include buildings, roads, and permanent fencing.

**Revenue.** Income from selling goods and services.

**Solvency.** A measure of the extent to which a business would be able to pay all of its financial obligations if it were to close and sell off all of its assets.

**Supplies.** Items that a business consumes in the production of goods or services. Considered a current asset on the balance sheet.

**Tangible Asset.** An asset that has physical form. Examples include both current assets (supplies, products) and noncurrent assets (equipment, buildings, land).



## Part 1

# Inventory

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## Inventory of Honey Bee Colonies

This section exists to record the value of honey bee colonies that your operation owns and uses in the production of honey, nucs and queens for sale, pollination services, and other apiary products. This section includes mating nucs and nucs that serve as replacement colonies for your own operation. Do not list queens or nucleus colonies that your business has produced for sale - these items should be listed under Inventory of Supplies for Producing Nucs and Queens (page 13).

### Instructions

|                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|---------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Beginning of Year         | Enter the <b>starting date of your beekeeping year</b> . For beekeepers that overwinter in New York State, we recommend using April 1 as a standard starting date. This is also the date used by the Bee Informed Partnership to calculate annual winter and summer colony losses. For beekeepers that overwinter bees in a warm climate where bees are active all winter, we recommend using the starting date of your financial year, which, in most cases, will be January 1. |
| End of Year               | Enter the <b>ending date of your beekeeping year</b> . For beekeepers that overwinter in New York State, we recommend using October 1 as a standard ending date. This is also the date used by the Bee Informed Partnership to calculate annual winter and summer colony losses. For beekeepers that overwinter bees in a warm climate where bees are active all winter, we recommend using the ending date of your financial year, which, in most cases, will be December 31.   |
| 1 Description             | Colony type and size (i.e. nucleus vs. field colony, number of brood boxes and frames).                                                                                                                                                                                                                                                                                                                                                                                          |
| 2 # of Colonies           | Number of live colonies at the start of the beekeeping year.                                                                                                                                                                                                                                                                                                                                                                                                                     |
| 3 Colony Value            | Estimate the sale price, or the cost of replacement, for each colony type.                                                                                                                                                                                                                                                                                                                                                                                                       |
| 4 Total Value             | Multiply the quantity in Column 2 by the price in Column 3.                                                                                                                                                                                                                                                                                                                                                                                                                      |
| 5 # of Colonies           | Number of live colonies at the end of the beekeeping year.                                                                                                                                                                                                                                                                                                                                                                                                                       |
| 6 Colony Value            | Estimate the sale price, or the cost of replacement, for each colony type.                                                                                                                                                                                                                                                                                                                                                                                                       |
| 7 Total Value             | Multiply the quantity in Column 5 by the price in Column 6.                                                                                                                                                                                                                                                                                                                                                                                                                      |
| Total Beginning Inventory | Sum of Column 4.                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Total Ending Inventory    | Sum of Column 7.                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |



## Inventory of Honey Bee Colonies

| 1                          |  | 2                  | 3            | 4           | 5                       | 6            | 7           |
|----------------------------|--|--------------------|--------------|-------------|-------------------------|--------------|-------------|
| Description                |  | Beginning of year: |              |             | End of year:            |              |             |
|                            |  | # of Colonies      | Colony Value | Total Value | # of Colonies           | Colony Value | Total Value |
| 1                          |  |                    |              |             |                         |              |             |
| 2                          |  |                    |              |             |                         |              |             |
| 3                          |  |                    |              |             |                         |              |             |
| 4                          |  |                    |              |             |                         |              |             |
| 5                          |  |                    |              |             |                         |              |             |
| 6                          |  |                    |              |             |                         |              |             |
| 7                          |  |                    |              |             |                         |              |             |
| 8                          |  |                    |              |             |                         |              |             |
| 9                          |  |                    |              |             |                         |              |             |
| 10                         |  |                    |              |             |                         |              |             |
| 11                         |  |                    |              |             |                         |              |             |
| 12                         |  |                    |              |             |                         |              |             |
| 13                         |  |                    |              |             |                         |              |             |
| 14                         |  |                    |              |             |                         |              |             |
| 15                         |  |                    |              |             |                         |              |             |
| 16                         |  |                    |              |             |                         |              |             |
| TOTAL BEGINNING INVENTORY: |  |                    |              |             | TOTAL ENDING INVENTORY: |              |             |

## Inventory of Supplies

Supplies are items that a business consumes in the production of goods or services. Supplies are different from equipment, in that supplies are consumable goods that become incorporated into the finished product. In other words, a business uses equipment, but it uses up supplies. This section divides supplies into three different categories that are common to beekeeping businesses.

**Beekeeping supplies (page 12).** This worksheet records the value of supplies that beekeepers use to raise and maintain honey bee colonies. Feed (sugar, protein, supplements), medications (mite treatments, antibiotics), and other consumable supplies (smoker fuel, American Foulbrood test kits) should be listed in this category. Hive equipment (boxes, frames, foundation, feeders) or tools intended for use over multiple years should NOT be listed in this section (see page 22). If your operation stores gasoline, diesel fuel, or any supplies for vehicle maintenance, those items may also be listed here.

**Supplies for making nucs and queens (page 13).** This worksheet records the value of supplies used to make nucleus colonies or queens for sale to other beekeepers. This includes boxes, frames, and foundation used to assemble nucs. Materials for packaging and shipping nucs and queens (e.g. queen cages) should be listed here. Any nucleus colonies or queens ready for sale at the time of the inventory may also be included in this section. This section does not include mating nucs or nucs used as replacement colonies in your own operation - those should be listed in the Inventory of Honey Bee Colonies (page 8).

**Marketing supplies (page 14 - 15).** This worksheet records the value of product packaging and marketing supplies. This category includes unused bottles, jars, other containers, and labels. It should also include items used to assemble value added products, such as gift baskets or mead making kits.



## Inventory of Supplies

### Instructions

|                           |                                                                                        |
|---------------------------|----------------------------------------------------------------------------------------|
| Beginning of Year         | Enter the starting date of your financial year. In most cases, this will be January 1. |
| End of Year               | Enter the ending date of your financial year. In most cases, this will be December 31. |
| 1 Description             | Item name or description.                                                              |
| 2 Quantity                | Quantity on hand at the start of the financial year.                                   |
| 3 Price per unit          | Purchase price per unit for the quantity on hand at the start of the financial year.   |
| 4 Total Value             | Multiply the quantity in Column 2 by the price in Column 3.                            |
| 5 Quantity                | Quantity on hand at the end of the financial year.                                     |
| 6 Price per unit          | Purchase price per unit for the quantity on hand at the end of the financial year.     |
| 7 Total Value             | Multiply the quantity in Column 5 by the price in Column 6.                            |
| Total Beginning Inventory | Sum of Column 4.                                                                       |
| Total Ending Inventory    | Sum of Column 7.                                                                       |

## Inventory of Beekeeping Supplies

| 1                          |  | 2                  | 3              | 4           | 5                       | 6              | 7           |
|----------------------------|--|--------------------|----------------|-------------|-------------------------|----------------|-------------|
| Description                |  | Beginning of year: |                |             | End of year:            |                |             |
|                            |  | Quantity           | Price per Unit | Total Value | Quantity                | Price per Unit | Total Value |
| 1                          |  |                    |                |             |                         |                |             |
| 2                          |  |                    |                |             |                         |                |             |
| 3                          |  |                    |                |             |                         |                |             |
| 4                          |  |                    |                |             |                         |                |             |
| 5                          |  |                    |                |             |                         |                |             |
| 6                          |  |                    |                |             |                         |                |             |
| 7                          |  |                    |                |             |                         |                |             |
| 8                          |  |                    |                |             |                         |                |             |
| 9                          |  |                    |                |             |                         |                |             |
| 10                         |  |                    |                |             |                         |                |             |
| 11                         |  |                    |                |             |                         |                |             |
| 12                         |  |                    |                |             |                         |                |             |
| 13                         |  |                    |                |             |                         |                |             |
| 14                         |  |                    |                |             |                         |                |             |
| 15                         |  |                    |                |             |                         |                |             |
| 16                         |  |                    |                |             |                         |                |             |
| TOTAL BEGINNING INVENTORY: |  |                    |                |             | TOTAL ENDING INVENTORY: |                |             |

## Inventory of Supplies for Producing Nucs and Queens

| 1                                 |  | 2                  | 3              | 4           | 5                              | 6              | 7           |
|-----------------------------------|--|--------------------|----------------|-------------|--------------------------------|----------------|-------------|
| Description                       |  | Beginning of year: |                |             | End of year:                   |                |             |
|                                   |  | Quantity           | Price per Unit | Total Value | Quantity                       | Price per Unit | Total Value |
| 1                                 |  |                    |                |             |                                |                |             |
| 2                                 |  |                    |                |             |                                |                |             |
| 3                                 |  |                    |                |             |                                |                |             |
| 4                                 |  |                    |                |             |                                |                |             |
| 5                                 |  |                    |                |             |                                |                |             |
| 6                                 |  |                    |                |             |                                |                |             |
| 7                                 |  |                    |                |             |                                |                |             |
| 8                                 |  |                    |                |             |                                |                |             |
| 9                                 |  |                    |                |             |                                |                |             |
| 10                                |  |                    |                |             |                                |                |             |
| 11                                |  |                    |                |             |                                |                |             |
| 12                                |  |                    |                |             |                                |                |             |
| 13                                |  |                    |                |             |                                |                |             |
| 14                                |  |                    |                |             |                                |                |             |
| 15                                |  |                    |                |             |                                |                |             |
| 16                                |  |                    |                |             |                                |                |             |
| <b>TOTAL BEGINNING INVENTORY:</b> |  |                    |                |             | <b>TOTAL ENDING INVENTORY:</b> |                |             |

## Inventory of Marketing Supplies

| 1                          |  | 2                  | 3              | 4           | 5                       | 6              | 7           |
|----------------------------|--|--------------------|----------------|-------------|-------------------------|----------------|-------------|
| Description                |  | Beginning of year: |                |             | End of year:            |                |             |
|                            |  | Quantity           | Price per Unit | Total Value | Quantity                | Price per Unit | Total Value |
| 1                          |  |                    |                |             |                         |                |             |
| 2                          |  |                    |                |             |                         |                |             |
| 3                          |  |                    |                |             |                         |                |             |
| 4                          |  |                    |                |             |                         |                |             |
| 5                          |  |                    |                |             |                         |                |             |
| 6                          |  |                    |                |             |                         |                |             |
| 7                          |  |                    |                |             |                         |                |             |
| 8                          |  |                    |                |             |                         |                |             |
| 9                          |  |                    |                |             |                         |                |             |
| 10                         |  |                    |                |             |                         |                |             |
| 11                         |  |                    |                |             |                         |                |             |
| 12                         |  |                    |                |             |                         |                |             |
| 13                         |  |                    |                |             |                         |                |             |
| 14                         |  |                    |                |             |                         |                |             |
| 15                         |  |                    |                |             |                         |                |             |
| 16                         |  |                    |                |             |                         |                |             |
| TOTAL BEGINNING INVENTORY: |  |                    |                |             | TOTAL ENDING INVENTORY: |                |             |

## Inventory of Marketing Supplies (continued)

| 1                                 |  | 2                  | 3              | 4           | 5                              | 6              | 7           |
|-----------------------------------|--|--------------------|----------------|-------------|--------------------------------|----------------|-------------|
| Description                       |  | Beginning of year: |                |             | End of year:                   |                |             |
|                                   |  | Quantity           | Price per Unit | Total Value | Quantity                       | Price per Unit | Total Value |
| 17                                |  |                    |                |             |                                |                |             |
| 18                                |  |                    |                |             |                                |                |             |
| 19                                |  |                    |                |             |                                |                |             |
| 20                                |  |                    |                |             |                                |                |             |
| 21                                |  |                    |                |             |                                |                |             |
| 22                                |  |                    |                |             |                                |                |             |
| 23                                |  |                    |                |             |                                |                |             |
| 24                                |  |                    |                |             |                                |                |             |
| 25                                |  |                    |                |             |                                |                |             |
| 26                                |  |                    |                |             |                                |                |             |
| 27                                |  |                    |                |             |                                |                |             |
| 28                                |  |                    |                |             |                                |                |             |
| 29                                |  |                    |                |             |                                |                |             |
| 30                                |  |                    |                |             |                                |                |             |
| 31                                |  |                    |                |             |                                |                |             |
| 32                                |  |                    |                |             |                                |                |             |
| <b>TOTAL BEGINNING INVENTORY:</b> |  |                    |                |             | <b>TOTAL ENDING INVENTORY:</b> |                |             |

## Inventory of Apiary Products

This section records the value of apiary products owned by the business at the beginning and end of the financial year. This includes:

- Bulk honey
- Bottled honey
- Cut comb
- Comb honey and chunk honey
- Creamed honey
- Honey sticks
- Bulk beeswax
- Beeswax blocks, wax candles, and figurines
- Pollen, propolis, venom, and royal jelly

Please also include any additional value-added products that the business produces for sale, such as soap, cosmetics, tinctures, candy, and other processed food items.

Only products that are ready for sale at the time of the inventory should be included. For example, fully assembled gift baskets should be included in this section. However, gift basket supplies should NOT be recorded here - they can be entered under Inventory of Marketing Supplies (page 14). Honey that has not yet been extracted should not be included in this inventory, as it is not in saleable condition.





## Inventory of Apiary Products

### Instructions

|                           |                                                                                                                                |
|---------------------------|--------------------------------------------------------------------------------------------------------------------------------|
| Beginning of Year         | Enter the starting date of your financial year. In most cases, this will be January 1.                                         |
| End of Year               | Enter the ending date of your financial year. In most cases, this will be December 31.                                         |
| 1 Description             | Product description. For honey, specify bulk or bottled. For bottled honey, provide the volume.                                |
| 2 Quantity                | Number of product units on hand at the start of the financial year. Specify units of measurement (lbs, bottles, pieces, etc.). |
| 3 Price per unit          | Sale price per unit at the start of the financial year.                                                                        |
| 4 Total Value             | Multiply the quantity in Column 2 by the price in Column 3.                                                                    |
| 5 Quantity                | Number of product units on hand at the end of the financial year. Specify units of measurement (lbs, bottles, pieces, etc.).   |
| 6 Price per unit          | Sale price per unit at the end of the financial year.                                                                          |
| 7 Total Value             | Multiply the quantity in Column 5 by the price in Column 6.                                                                    |
| Total Beginning Inventory | Sum of Column 4.                                                                                                               |
| Total Ending Inventory    | Sum of Column 7.                                                                                                               |

## Inventory of Apiary Products

| 1                          |  | 2                  | 3              | 4           | 5                       | 6              | 7           |
|----------------------------|--|--------------------|----------------|-------------|-------------------------|----------------|-------------|
| Description                |  | Beginning of year: |                |             | End of year:            |                |             |
|                            |  | Quantity           | Price per Unit | Total Value | Quantity                | Price per Unit | Total Value |
| 1                          |  |                    |                |             |                         |                |             |
| 2                          |  |                    |                |             |                         |                |             |
| 3                          |  |                    |                |             |                         |                |             |
| 4                          |  |                    |                |             |                         |                |             |
| 5                          |  |                    |                |             |                         |                |             |
| 6                          |  |                    |                |             |                         |                |             |
| 7                          |  |                    |                |             |                         |                |             |
| 8                          |  |                    |                |             |                         |                |             |
| 9                          |  |                    |                |             |                         |                |             |
| 10                         |  |                    |                |             |                         |                |             |
| 11                         |  |                    |                |             |                         |                |             |
| 12                         |  |                    |                |             |                         |                |             |
| 13                         |  |                    |                |             |                         |                |             |
| 14                         |  |                    |                |             |                         |                |             |
| 15                         |  |                    |                |             |                         |                |             |
| 16                         |  |                    |                |             |                         |                |             |
| TOTAL BEGINNING INVENTORY: |  |                    |                |             | TOTAL ENDING INVENTORY: |                |             |

### Inventory of Apiary Products (continued)

| 1                                 |  | 2                  | 3              | 4           | 5                              | 6              | 7           |
|-----------------------------------|--|--------------------|----------------|-------------|--------------------------------|----------------|-------------|
| Description                       |  | Beginning of year: |                |             | End of year:                   |                |             |
|                                   |  | Quantity           | Price per Unit | Total Value | Quantity                       | Price per Unit | Total Value |
| 17                                |  |                    |                |             |                                |                |             |
| 18                                |  |                    |                |             |                                |                |             |
| 19                                |  |                    |                |             |                                |                |             |
| 20                                |  |                    |                |             |                                |                |             |
| 21                                |  |                    |                |             |                                |                |             |
| 22                                |  |                    |                |             |                                |                |             |
| 23                                |  |                    |                |             |                                |                |             |
| 24                                |  |                    |                |             |                                |                |             |
| 25                                |  |                    |                |             |                                |                |             |
| 26                                |  |                    |                |             |                                |                |             |
| 27                                |  |                    |                |             |                                |                |             |
| 28                                |  |                    |                |             |                                |                |             |
| 29                                |  |                    |                |             |                                |                |             |
| 30                                |  |                    |                |             |                                |                |             |
| 31                                |  |                    |                |             |                                |                |             |
| 32                                |  |                    |                |             |                                |                |             |
| <b>TOTAL BEGINNING INVENTORY:</b> |  |                    |                |             | <b>TOTAL ENDING INVENTORY:</b> |                |             |

## Inventory of Accounts Receivable and Prepaid Expenses

This section records the value of all accounts receivable and prepaid expenses. Accounts receivable refers to money that customers owe to a business for products or services that the customers have received. Accounts receivable can be thought of as outstanding invoices. Take the example of a beekeeping business that delivers ten barrels of honey to a wholesale client. Payment is not collected upon delivery, so the beekeeper invoices the client. From the moment the honey is delivered to the client, until the moment that payment is received, the value of that transaction is recorded under accounts receivable.

Prepaid expenses refer to money that a business has paid for products or services that it will use at a later date. Prepaid expenses can be thought of as future business expenses that have been paid in advance. Common examples include **insurance premiums** and **estimated taxes**. When a business pays for an insurance policy before the insurance coverage begins, that payment constitutes a prepaid expense. Similarly, if a business makes quarterly payments of estimated taxes, those payments are made in advance of the actual tax liability and are therefore considered prepaid expenses. **Farmers' market booth fees** are a prepaid expense if they are paid before the market season begins.

Accounts receivable and prepaid expenses are considered to be business assets. As such, they are must be included in the annual inventory. The change in accounts receivable and prepaid expenses between the start and end of the year will be important for calculating business profit at the end of the financial cycle.

### Instructions

|                           |                                                                                                                                  |
|---------------------------|----------------------------------------------------------------------------------------------------------------------------------|
| Beginning of Year         | Enter the starting date of your financial year. In most cases, this will be January 1.                                           |
| End of Year               | Enter the ending date of your financial year. In most cases, this will be December 31.                                           |
| 1 Account Name            | Name of the client (Accounts Receivable) or supplier (Prepaid Expenses).                                                         |
| 2 & 4 Category            | Choose a category that reflects the product or service exchanged in the transaction.                                             |
| 3 & 5 Total Value         | Enter the total value of the outstanding payment (Accounts Receivable) or the outstanding product or service (Prepaid Expenses). |
| Total Accounts Receivable | Add up the value of beginning accounts receivable in Column 3 and ending accounts receivable in Column 5.                        |
| Total Prepaid Expenses    | Add up the value of beginning prepaid expenses in Column 3 and ending prepaid expenses in Column 5.                              |

## Inventory of Accounts Receivable and Prepaid Expenses

| 1                                               |  | 2                  | 3           | 4                                            | 5           |
|-------------------------------------------------|--|--------------------|-------------|----------------------------------------------|-------------|
| Account Name                                    |  | Beginning of year: |             | End of year:                                 |             |
|                                                 |  | Category           | Total Value | Category                                     | Total Value |
| <b>Accounts Receivable</b>                      |  |                    |             |                                              |             |
| 1                                               |  |                    |             |                                              |             |
| 2                                               |  |                    |             |                                              |             |
| 3                                               |  |                    |             |                                              |             |
| 4                                               |  |                    |             |                                              |             |
| 5                                               |  |                    |             |                                              |             |
| 6                                               |  |                    |             |                                              |             |
| 7                                               |  |                    |             |                                              |             |
| 8                                               |  |                    |             |                                              |             |
| <b>TOTAL BEGINNING<br/>ACCOUNTS RECEIVABLE:</b> |  |                    |             | <b>TOTAL ENDING<br/>ACCOUNTS RECEIVABLE:</b> |             |
| <b>Prepaid Expenses</b>                         |  |                    |             |                                              |             |
| 1                                               |  |                    |             |                                              |             |
| 2                                               |  |                    |             |                                              |             |
| 3                                               |  |                    |             |                                              |             |
| 4                                               |  |                    |             |                                              |             |
| 5                                               |  |                    |             |                                              |             |
| 6                                               |  |                    |             |                                              |             |
| <b>TOTAL BEGINNING<br/>PREPAID EXPENSES:</b>    |  |                    |             | <b>TOTAL ENDING<br/>PREPAID EXPENSES:</b>    |             |

## Inventory of Equipment and Machinery

This section records the value of all equipment, machinery, and vehicles owned and used by your business. These items are considered to be durable goods, and must therefore have a useful lifespan of more than one year.

**Hive equipment (page 24).** The first worksheet in this section records the value of hive equipment, which includes all of the components that make up your permanent hives: hive bodies, inner and outer covers, bottom boards, queen excluders, frames, foundation, feeders, etc. You may include boxes and frames used in mating nucs, or for nucs that serve as replacement colonies. Do NOT list boxes, frames, or foundation used to make up nucleus colonies for sale - these items should be listed under the Inventory of Supplies for Producing Queens and Nucs (page 11). Some pieces of hive equipment, like hive bodies, may have a useful life of 10 years or more, while frames and foundation may have a shorter lifespan. In fact, replacing frames and foundation every 5 years is recommended as a best management practice to reduce the buildup of pesticides and disease-causing spores. To simplify recordkeeping and depreciation estimates, we propose using a standard of 7 years as the useful life for all items in the hive equipment category.

**General equipment (page 26).** The second worksheet in this section records the value of all other equipment, including beekeeping, extraction, and bottling equipment. All equipment valued at \$500 or more at the time of purchase should be included here. You may also list equipment valued at less than \$500, if it has a projected life span of more than one year.

**Vehicles and machinery (page 30).** The third worksheet records the value of machinery and vehicles. Machines use mechanical power to accomplish a specific task. Vehicles are a type of machinery, used for transporting people or products. There may be some overlap between the machinery and equipment categories - if an item fits into both categories, record it only once on the worksheet of your choice.



Extraction Equipment



Machinery & Vehicles



Hive Equipment

## Inventory of Equipment and Machinery

### Instructions

|                                |                                                                                                                                                                                                                                                                                                                                                                     |
|--------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Beginning of Year              | Enter the starting date of your financial year. In most cases, this will be January 1.                                                                                                                                                                                                                                                                              |
| 1 Description                  | Describe the item.                                                                                                                                                                                                                                                                                                                                                  |
| 2 Date Owned                   | Enter the month and year the item was first used in the business. Typically this will be the same as the purchase date. However, if an item is purchased and stored for an extended period before being used, you should enter the date that it was first put to use.                                                                                               |
| 3 Useful Life                  | <p>Determine the estimated useful life of the item. The following standard lifespans are recommended for each type of farm asset, following IRS guidelines.</p> <ul style="list-style-type: none"> <li>• 7 years: hive equipment, honey extraction and bottling equipment, other equipment and machinery</li> <li>• 5 years: trucks, trailers, computers</li> </ul> |
| 4 Purchase Value               | Enter the total cost of the item when it was purchased.                                                                                                                                                                                                                                                                                                             |
| 5 Annual Depreciation          | Divide the Purchase Value of the item (Column 4) by its Useful Life (Column 3). This method produces the annual depreciation expense for each item, using the straight-line depreciation method.                                                                                                                                                                    |
| 6 & 10 Years in Use            | Enter the total number of years that the item has been in use.                                                                                                                                                                                                                                                                                                      |
| 7 & 11 Total Depreciation      | Record the cumulative depreciation expense for each item. Multiply Annual Depreciation (Column 5) by Years in Use (Column 6). Total Depreciation cannot be greater than Purchase Value. If Years in Use is equal to or greater than Useful Life, then the Total Depreciation will equal the Purchase Value.                                                         |
| 8 & 12 Book Value              | Enter the unused value of the item. This is calculated by subtracting Total Depreciation (Column 7) from the Purchase Value (Column 4). Book Value cannot be negative. If Years in Use is equal to or greater than Useful Life, then the Book Value will be zero.                                                                                                   |
| 9 & 13 Fair Market Value (FMV) | Estimate the current sale price of the item if you were to sell it today. This column does not need to be completed for hive equipment, which is assumed to have no resale value after it has been used to raise and house honey bees.                                                                                                                              |
| Totals                         | Record the sum of each column for Columns 4, 5, 7, 8 9, 11, and 12. For Column 5, add up only the Annual Depreciation values for improvements with a Book Value greater than zero.                                                                                                                                                                                  |

## Hive Equipment Inventory

| 1                          |  | 2          | 3           | 4              | 5                   | 6                  | 7                  | 8          | 9      |
|----------------------------|--|------------|-------------|----------------|---------------------|--------------------|--------------------|------------|--------|
| Hive Equipment Description |  | Date Owned | Useful Life | Purchase Value | Annual Depreciation | Beginning of year: |                    |            |        |
|                            |  |            |             |                |                     | Years in Use       | Total Depreciation | Book Value | FMV    |
| 1                          |  |            |             |                |                     |                    |                    |            | N/A    |
| 2                          |  |            |             |                |                     |                    |                    |            | N/A    |
| 3                          |  |            |             |                |                     |                    |                    |            | N/A    |
| 4                          |  |            |             |                |                     |                    |                    |            | N/A    |
| 5                          |  |            |             |                |                     |                    |                    |            | N/A    |
| 6                          |  |            |             |                |                     |                    |                    |            | N/A    |
| 7                          |  |            |             |                |                     |                    |                    |            | N/A    |
| 8                          |  |            |             |                |                     |                    |                    |            | N/A    |
| 9                          |  |            |             |                |                     |                    |                    |            | N/A    |
| 10                         |  |            |             |                |                     |                    |                    |            | N/A    |
| 11                         |  |            |             |                |                     |                    |                    |            | N/A    |
| 12                         |  |            |             |                |                     |                    |                    |            | N/A    |
| 13                         |  |            |             |                |                     |                    |                    |            | N/A    |
| 14                         |  |            |             |                |                     |                    |                    |            | N/A    |
| 15                         |  |            |             |                |                     |                    |                    |            | N/A    |
| 16                         |  |            |             |                |                     |                    |                    |            | N/A    |
| <b>TOTALS:</b>             |  |            |             |                |                     | N/A                |                    |            | \$0.00 |



## Hive Equipment Inventory

| 10              |  | 11                    | 12            | 13     |
|-----------------|--|-----------------------|---------------|--------|
| End of year:    |  |                       |               |        |
| Years<br>in Use |  | Total<br>Depreciation | Book<br>Value | FMV    |
| 1               |  |                       |               | N/A    |
| 2               |  |                       |               | N/A    |
| 3               |  |                       |               | N/A    |
| 4               |  |                       |               | N/A    |
| 5               |  |                       |               | N/A    |
| 6               |  |                       |               | N/A    |
| 7               |  |                       |               | N/A    |
| 8               |  |                       |               | N/A    |
| 9               |  |                       |               | N/A    |
| 10              |  |                       |               | N/A    |
| 11              |  |                       |               | N/A    |
| 12              |  |                       |               | N/A    |
| 13              |  |                       |               | N/A    |
| 14              |  |                       |               | N/A    |
| 15              |  |                       |               | N/A    |
| 16              |  |                       |               | N/A    |
| <b>Totals:</b>  |  |                       |               | \$0.00 |

**Notes:**

## General Equipment Inventory

| 1                             |  | 2          | 3           | 4              | 5                   | 6                  | 7                  | 8          | 9   |
|-------------------------------|--|------------|-------------|----------------|---------------------|--------------------|--------------------|------------|-----|
| General Equipment Description |  | Date Owned | Useful Life | Purchase Value | Annual Depreciation | Beginning of year: |                    |            |     |
|                               |  |            |             |                |                     | Years in Use       | Total Depreciation | Book Value | FMV |
| 1                             |  |            |             |                |                     |                    |                    |            |     |
| 2                             |  |            |             |                |                     |                    |                    |            |     |
| 3                             |  |            |             |                |                     |                    |                    |            |     |
| 4                             |  |            |             |                |                     |                    |                    |            |     |
| 5                             |  |            |             |                |                     |                    |                    |            |     |
| 6                             |  |            |             |                |                     |                    |                    |            |     |
| 7                             |  |            |             |                |                     |                    |                    |            |     |
| 8                             |  |            |             |                |                     |                    |                    |            |     |
| 9                             |  |            |             |                |                     |                    |                    |            |     |
| 10                            |  |            |             |                |                     |                    |                    |            |     |
| 11                            |  |            |             |                |                     |                    |                    |            |     |
| 12                            |  |            |             |                |                     |                    |                    |            |     |
| 13                            |  |            |             |                |                     |                    |                    |            |     |
| 14                            |  |            |             |                |                     |                    |                    |            |     |
| 15                            |  |            |             |                |                     |                    |                    |            |     |
| 16                            |  |            |             |                |                     |                    |                    |            |     |
| TOTALS:                       |  |            |             |                |                     | N/A                |                    |            |     |

## General Equipment Inventory

| 10              |  | 11                    | 12            | 13  |
|-----------------|--|-----------------------|---------------|-----|
| End of year:    |  |                       |               |     |
| Years<br>in Use |  | Total<br>Depreciation | Book<br>Value | FMV |
| 1               |  |                       |               |     |
| 2               |  |                       |               |     |
| 3               |  |                       |               |     |
| 4               |  |                       |               |     |
| 5               |  |                       |               |     |
| 6               |  |                       |               |     |
| 7               |  |                       |               |     |
| 8               |  |                       |               |     |
| 9               |  |                       |               |     |
| 10              |  |                       |               |     |
| 11              |  |                       |               |     |
| 12              |  |                       |               |     |
| 13              |  |                       |               |     |
| 14              |  |                       |               |     |
| 15              |  |                       |               |     |
| 16              |  |                       |               |     |
| <b>Totals:</b>  |  |                       |               |     |

**Notes:**

## General Equipment Inventory (continued)

| 1                             |  | 2          | 3           | 4              | 5                   | 6                  | 7                  | 8          | 9   |
|-------------------------------|--|------------|-------------|----------------|---------------------|--------------------|--------------------|------------|-----|
| General Equipment Description |  | Date Owned | Useful Life | Purchase Value | Annual Depreciation | Beginning of year: |                    |            |     |
|                               |  |            |             |                |                     | Years in Use       | Total Depreciation | Book Value | FMV |
| 17                            |  |            |             |                |                     |                    |                    |            |     |
| 18                            |  |            |             |                |                     |                    |                    |            |     |
| 19                            |  |            |             |                |                     |                    |                    |            |     |
| 20                            |  |            |             |                |                     |                    |                    |            |     |
| 21                            |  |            |             |                |                     |                    |                    |            |     |
| 22                            |  |            |             |                |                     |                    |                    |            |     |
| 23                            |  |            |             |                |                     |                    |                    |            |     |
| 24                            |  |            |             |                |                     |                    |                    |            |     |
| 25                            |  |            |             |                |                     |                    |                    |            |     |
| 26                            |  |            |             |                |                     |                    |                    |            |     |
| 27                            |  |            |             |                |                     |                    |                    |            |     |
| 28                            |  |            |             |                |                     |                    |                    |            |     |
| 29                            |  |            |             |                |                     |                    |                    |            |     |
| 30                            |  |            |             |                |                     |                    |                    |            |     |
| 31                            |  |            |             |                |                     |                    |                    |            |     |
| 32                            |  |            |             |                |                     |                    |                    |            |     |
| TOTALS:                       |  |            |             |                |                     | N/A                |                    |            |     |

## General Equipment Inventory (continued)

| 10              |  | 11                    | 12            | 13  |
|-----------------|--|-----------------------|---------------|-----|
| End of year:    |  |                       |               |     |
| Years<br>in Use |  | Total<br>Depreciation | Book<br>Value | FMV |
| 17              |  |                       |               |     |
| 18              |  |                       |               |     |
| 19              |  |                       |               |     |
| 20              |  |                       |               |     |
| 21              |  |                       |               |     |
| 22              |  |                       |               |     |
| 23              |  |                       |               |     |
| 24              |  |                       |               |     |
| 25              |  |                       |               |     |
| 26              |  |                       |               |     |
| 27              |  |                       |               |     |
| 28              |  |                       |               |     |
| 29              |  |                       |               |     |
| 30              |  |                       |               |     |
| 31              |  |                       |               |     |
| 32              |  |                       |               |     |
| <b>Totals:</b>  |  |                       |               |     |

**Notes:**

## Vehicle and Machinery Inventory

| 1                                |  | 2          | 3           | 4              | 5                   | 6                  | 7                  | 8          | 9   |
|----------------------------------|--|------------|-------------|----------------|---------------------|--------------------|--------------------|------------|-----|
| Vehicle or Machinery Description |  | Date Owned | Useful Life | Purchase Value | Annual Depreciation | Beginning of year: |                    |            |     |
|                                  |  |            |             |                |                     | Years in Use       | Total Depreciation | Book Value | FMV |
| 1                                |  |            |             |                |                     |                    |                    |            |     |
| 2                                |  |            |             |                |                     |                    |                    |            |     |
| 3                                |  |            |             |                |                     |                    |                    |            |     |
| 4                                |  |            |             |                |                     |                    |                    |            |     |
| 5                                |  |            |             |                |                     |                    |                    |            |     |
| 6                                |  |            |             |                |                     |                    |                    |            |     |
| 7                                |  |            |             |                |                     |                    |                    |            |     |
| 8                                |  |            |             |                |                     |                    |                    |            |     |
| 9                                |  |            |             |                |                     |                    |                    |            |     |
| 10                               |  |            |             |                |                     |                    |                    |            |     |
| 11                               |  |            |             |                |                     |                    |                    |            |     |
| 12                               |  |            |             |                |                     |                    |                    |            |     |
| 13                               |  |            |             |                |                     |                    |                    |            |     |
| 14                               |  |            |             |                |                     |                    |                    |            |     |
| 15                               |  |            |             |                |                     |                    |                    |            |     |
| 16                               |  |            |             |                |                     |                    |                    |            |     |
| TOTALS:                          |  |            |             |                |                     | N/A                |                    |            |     |

## Vehicle and Machinery Inventory

| 10              |  | 11                    | 12            | 13  |
|-----------------|--|-----------------------|---------------|-----|
| End of year:    |  |                       |               |     |
| Years<br>in Use |  | Total<br>Depreciation | Book<br>Value | FMV |
| 1               |  |                       |               |     |
| 2               |  |                       |               |     |
| 3               |  |                       |               |     |
| 4               |  |                       |               |     |
| 5               |  |                       |               |     |
| 6               |  |                       |               |     |
| 7               |  |                       |               |     |
| 8               |  |                       |               |     |
| 9               |  |                       |               |     |
| 10              |  |                       |               |     |
| 11              |  |                       |               |     |
| 12              |  |                       |               |     |
| 13              |  |                       |               |     |
| 14              |  |                       |               |     |
| 15              |  |                       |               |     |
| 16              |  |                       |               |     |
| <b>Totals:</b>  |  |                       |               |     |

**Notes:**





## Inventory of Real Estate Improvements

This section records the value of houses, barns, sheds, fencing, driveways, and other infrastructure that is considered to be real estate improvements. Equipment related to the functionality of a building (e.g. heating and cooling equipment) has a shorter lifespan than the building itself, and should therefore be recorded under machinery. Livestock, supplies, machinery, and equipment - including beekeeping and extracting equipment - are NOT considered to be real estate improvements.

### Instructions

- |                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|-----------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1 Description         | Describe the real estate improvement.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| 2 Date Owned          | Enter the month and year it was purchased or acquired. If constructing a building, enter the date it was first used by the business.                                                                                                                                                                                                                                                                                                                                                                                    |
| 3 Years of Life       | Determine the estimated useful life of the improvement. The following standard lifespans are recommended for each type of farm asset, following IRS guidelines. <ul style="list-style-type: none"><li>• 20 years: farm buildings such as sheds and barns</li><li>• 15 years: tiling, drainage, retention ponds, underground irrigation, drives and roads</li><li>• 10 years: single-purpose structures for housing livestock (e.g. indoor overwintering facilities)</li><li>• 7 years: permanent farm fencing</li></ul> |
| 4 Total Cost          | Enter the total cost of the improvement when it was first put to use in the business.                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| 5 Fair Market Value   | Estimate the current sale price of the improvement if you were to sell it today. If the improvement is permanent, estimate how much it would contribute to the value of the property on which it is located, if you were to sell that property today.                                                                                                                                                                                                                                                                   |
| 6 Annual Depreciation | Divide the Total Cost of the improvement by its Years of Life. This method produces the annual depreciation of the item, using the straight-line depreciation method.                                                                                                                                                                                                                                                                                                                                                   |
| 7 Total Depreciation  | Record the cumulative depreciation taken in years before the current year. First, determine the amount of time between the Date Owned and the beginning of the current year. Then, multiply that number by the Annual Depreciation amount.                                                                                                                                                                                                                                                                              |
| 8 Book Value          | Enter the unused value of the item. This is calculated by subtracting Total Depreciation from the Total Cost.                                                                                                                                                                                                                                                                                                                                                                                                           |
| Totals                | Record the sum of each column for Columns 4 to 8. For Column 6, add up only the Annual Depreciation values for improvements with a Book Value greater than zero.                                                                                                                                                                                                                                                                                                                                                        |

## Inventory of Real Estate Improvements

| 1                                   |  | 2          | 3           | 4              | 5                   | 6                  | 7                  | 8          | 9   |
|-------------------------------------|--|------------|-------------|----------------|---------------------|--------------------|--------------------|------------|-----|
| Building or Improvement Description |  | Date Owned | Useful Life | Purchase Value | Annual Depreciation | Beginning of year: |                    |            |     |
|                                     |  |            |             |                |                     | Years in Use       | Total Depreciation | Book Value | FMV |
| 1                                   |  |            |             |                |                     |                    |                    |            |     |
| 2                                   |  |            |             |                |                     |                    |                    |            |     |
| 3                                   |  |            |             |                |                     |                    |                    |            |     |
| 4                                   |  |            |             |                |                     |                    |                    |            |     |
| 5                                   |  |            |             |                |                     |                    |                    |            |     |
| 6                                   |  |            |             |                |                     |                    |                    |            |     |
| 7                                   |  |            |             |                |                     |                    |                    |            |     |
| 8                                   |  |            |             |                |                     |                    |                    |            |     |
| 9                                   |  |            |             |                |                     |                    |                    |            |     |
| 10                                  |  |            |             |                |                     |                    |                    |            |     |
| 11                                  |  |            |             |                |                     |                    |                    |            |     |
| 12                                  |  |            |             |                |                     |                    |                    |            |     |
| 13                                  |  |            |             |                |                     |                    |                    |            |     |
| 14                                  |  |            |             |                |                     |                    |                    |            |     |
| 15                                  |  |            |             |                |                     |                    |                    |            |     |
| 16                                  |  |            |             |                |                     |                    |                    |            |     |
| TOTALS:                             |  |            |             |                |                     | N/A                |                    |            |     |

## Inventory of Real Estate Improvements (continued)

| 10              |  | 11                    | 12            | 13  |
|-----------------|--|-----------------------|---------------|-----|
| End of year:    |  |                       |               |     |
| Years<br>in Use |  | Total<br>Depreciation | Book<br>Value | FMV |
| 1               |  |                       |               |     |
| 2               |  |                       |               |     |
| 3               |  |                       |               |     |
| 4               |  |                       |               |     |
| 5               |  |                       |               |     |
| 6               |  |                       |               |     |
| 7               |  |                       |               |     |
| 8               |  |                       |               |     |
| 9               |  |                       |               |     |
| 10              |  |                       |               |     |
| 11              |  |                       |               |     |
| 12              |  |                       |               |     |
| 13              |  |                       |               |     |
| 14              |  |                       |               |     |
| 15              |  |                       |               |     |
| 16              |  |                       |               |     |
| <b>Totals:</b>  |  |                       |               |     |

**Notes:**

## Inventory of Land

This section records the value of land that your beekeeping business owns and manages. The first step in taking inventory of your land is to record the initial purchase price for each parcel. After purchase, the value of land changes only when an event occurs that has a positive or negative effect on its price. Land values may decrease due to natural events that degrade its productivity, such as flooding or erosion. Human activity also affects land values. Changes in land use, sale of development rights, or partial sale of the property may affect the value of your land. If local land prices increase or decrease, the value of your land may be adjusted accordingly.

Unlike many agricultural enterprises, beekeeping does not require extensive land ownership. If your business does not own land, skip this section. Otherwise, follow the instructions provided below to record the initial transaction when the land was acquired, and any events that have caused a change in its value. Use a separate Land Inventory worksheet for each parcel that you own. Three blank worksheets are included in this book; make additional copies if needed.

### Instructions

|                   |                                                                                                                                                                                             |
|-------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Property Name     | The common name for the property.                                                                                                                                                           |
| Address           | Street address or a description of the location.                                                                                                                                            |
| Details           | Relevant details about the property, such as soil type, land cover, geological or hydrological features, historical land use, or how the land was acquired.                                 |
| 1 Description     | The transaction or event that occurred. Examples include land purchase, land sale, donations of land, and increases or reductions in land value due to natural events or market conditions. |
| 2 Date            | The date that the transaction or event occurred.                                                                                                                                            |
| 3 Number of Acres | The number of acres affected by the transaction or event.                                                                                                                                   |
| 4 Value per Acre  | The value per acre for the specified event. If the land was inherited or gifted, list the fair market value on the date that the transfer occurred.                                         |
| 5 Total Value     | For each transaction, multiply the Number of Acres by the Value per Acre to generate the Total Value.                                                                                       |
| Market Value      | For each parcel, record the current Market Value of the property by taking the sum of Column 5.                                                                                             |

## Inventory of Land - Property #1

|                |          |
|----------------|----------|
| Property name: | Address: |
| Details:       |          |

| 1                                | 2    | 3          | 4              | 5           |
|----------------------------------|------|------------|----------------|-------------|
| Description of Transaction/Event | Date | # of Acres | Value per Acre | Total Value |
| 1                                |      |            |                |             |
| 2                                |      |            |                |             |
| 3                                |      |            |                |             |
| 4                                |      |            |                |             |
| 5                                |      |            |                |             |
| 6                                |      |            |                |             |
| 7                                |      |            |                |             |
| 8                                |      |            |                |             |
| 9                                |      |            |                |             |
| 10                               |      |            |                |             |
| 11                               |      |            |                |             |
| 12                               |      |            |                |             |
| MARKET VALUE:                    |      |            |                |             |

## Inventory of Land - Property #2

|                |          |
|----------------|----------|
| Property name: | Address: |
| Details:       |          |

| 1                                |  | 2    | 3          | 4              | 5           |
|----------------------------------|--|------|------------|----------------|-------------|
| Description of Transaction/Event |  | Date | # of Acres | Value per Acre | Total Value |
| 1                                |  |      |            |                |             |
| 2                                |  |      |            |                |             |
| 3                                |  |      |            |                |             |
| 4                                |  |      |            |                |             |
| 5                                |  |      |            |                |             |
| 6                                |  |      |            |                |             |
| 7                                |  |      |            |                |             |
| 8                                |  |      |            |                |             |
| 9                                |  |      |            |                |             |
| 10                               |  |      |            |                |             |
| 11                               |  |      |            |                |             |
| 12                               |  |      |            |                |             |
| MARKET VALUE:                    |  |      |            |                |             |

## Inventory of Land - Property #3

|                |          |
|----------------|----------|
| Property name: | Address: |
| Details:       |          |

| 1                                | 2    | 3          | 4              | 5           |
|----------------------------------|------|------------|----------------|-------------|
| Description of Transaction/Event | Date | # of Acres | Value per Acre | Total Value |
| 1                                |      |            |                |             |
| 2                                |      |            |                |             |
| 3                                |      |            |                |             |
| 4                                |      |            |                |             |
| 5                                |      |            |                |             |
| 6                                |      |            |                |             |
| 7                                |      |            |                |             |
| 8                                |      |            |                |             |
| 9                                |      |            |                |             |
| 10                               |      |            |                |             |
| 11                               |      |            |                |             |
| 12                               |      |            |                |             |
| MARKET VALUE:                    |      |            |                |             |





## Part 2

# Financial Statements

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## Assets and Liabilities

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### Assets

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An asset is a productive resource that can be bought and sold. Companies own assets and use them to generate income. Assets can be tangible, like tractors and livestock, or intangible, like patents and trademarks.

For the purposes of farm financial analysis, we separate assets into two categories that reflect their level of permanence in the business: current and non-current assets.

#### **Current Assets**

Current assets refer to resources that will be converted into cash or used up within one year. Examples include:

- Cash
- Checking and savings account balances
- Feed
- Supplies
- Prepaid expenses
- Accounts receivable
- Apiary products inventory

#### **Noncurrent Assets**

In contrast, noncurrent assets are resources that the company expects to own for more than one year. Examples include:

- Vehicles
- Machinery
- Equipment
- Buildings
- Land

We also consider the inventory of honey bee colonies, as with other breeding livestock, to be a noncurrent asset. Intangible assets are also considered to be noncurrent assets.

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### Liabilities

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Most businesses incur financial debts or obligations during the course of normal business operations. These obligations are known as liabilities, and they represent a claim on the value of business assets held by an outside entity.

Liabilities are settled over time when the business transfers money, goods, or services that relieve its prior obligations. Liabilities are also sorted into current and noncurrent categories.

#### **Current Liabilities**

Current liabilities are obligations that the business expects to meet within one year. Examples include:

- Short-term loans
- Lines of credit
- Credit card balances
- Accounts payable
- Accrued expenses

The portion of a long-term loan due within 12 months is also considered to be a current liability.

#### **Noncurrent Liabilities**

In contrast, noncurrent liabilities include the portion of all long-term financial obligations - including loans and mortgages - that are due beyond the next 12 months.

## Net Worth Statement

The Net Worth Statement is a record of a farm's business assets (what the business owns) and liabilities (what the business owes) at a specific moment in time. Net worth is defined as the difference between total assets and total liabilities.

Owner equity is synonymous with net worth; both terms refer to the value of the business share that belongs to the owner(s). The Net Worth Statement is sometimes called a Balance Sheet, because it is structured around the accounting relationship that balances assets, liabilities, and net worth in a single equation:

$$\text{Assets} - \text{Liabilities} = \text{Net Worth}$$

This financial statement provides a snapshot of the farm's financial condition. Farm businesses can benefit from taking an annual financial snapshot by producing a Net Worth Statement at the beginning of each financial year, typically January 1st. Lenders may require a current Balance Sheet to evaluate a loan application.

A Net Worth Statement is useful to farm managers and their lenders because it shows the overall liquidity and solvency of the business. Liquidity reflects the ability of a farm business to pay its bills on time without disrupting day-to-day operations. In accounting terminology, liquidity measures the relationship between current assets and current liabilities.

In contrast, solvency refers to the relationship between total assets and total liabilities. In other words, solvency represents the ability of a business to pay off its debts in the event that the business were to shut down and sell all of its assets.

### Net Worth Statement (example)

**Name:** Joe Sideliner

**Date:** January 1, 2017

| <b>Farm Assets</b>                  | <b>Cost Value</b> | <b>Market Value</b> |
|-------------------------------------|-------------------|---------------------|
| <b>Current Assets</b>               |                   |                     |
| Cash, checking and savings          | 2,578             | 2,578               |
| Accounts receivable                 | 224               | 224                 |
| Prepaid expenses                    | 125               | 125                 |
| Supplies inventory                  | 879               | 879                 |
| Product inventory                   | 3,500             | 3,500               |
| Other current assets                | 0                 | 0                   |
| <b>Total Current Assets</b>         | <b>\$7,306</b>    | <b>\$7,306</b>      |
| <b>Noncurrent Assets</b>            |                   |                     |
| Honey bee colonies                  | 0                 | 42,300              |
| Hive equipment                      | 18,560            | 0                   |
| General equipment                   | 4,057             | 2,936               |
| Vehicles and machinery              | 12,284            | 8,000               |
| Buildings and improvements          | 34,576            | 13,075              |
| Farmland                            | 0                 | 0                   |
| (Subtract accumulated depreciation) | -7,358            |                     |
| <b>Total Noncurrent Assets</b>      | <b>\$62,119</b>   | <b>\$66,311</b>     |
| <b>TOTAL FARM ASSETS</b>            | <b>\$69,425</b>   | <b>\$73,617</b>     |

| <b>Farm Liabilities</b>             | <b>Cost Value</b> | <b>Market Value</b> |
|-------------------------------------|-------------------|---------------------|
| <b>Current Liabilities</b>          |                   |                     |
| Accounts payable                    |                   | 0                   |
| Accrued taxes and interest          |                   | 0                   |
| Current notes and credit lines      |                   | 567                 |
| Notes due in 12 months              |                   | 2,371               |
| Other current liabilities           |                   | 0                   |
| <b>Total Current Liabilities</b>    |                   | <b>\$2,938</b>      |
| <b>Noncurrent Liabilities</b>       |                   |                     |
| Notes due beyond 12 months          |                   |                     |
| - Auto loan                         |                   | 5,760               |
| - Mortgage                          |                   | 0                   |
| Other noncurrent liabilities        |                   | 0                   |
| <b>Total Noncurrent Liabilities</b> |                   | <b>\$5,760</b>      |
| <b>TOTAL FARM LIABILITIES</b>       |                   | <b>\$8,698</b>      |

|                                                     |                 |                 |
|-----------------------------------------------------|-----------------|-----------------|
| <b>NET WORTH (total assets - total liabilities)</b> | <b>\$60,727</b> | <b>\$64,919</b> |
|-----------------------------------------------------|-----------------|-----------------|

## Net Worth Statement - Assets

### Instructions

|                         |                                                                                                                                                                              |
|-------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Beginning Date          | The date you compiled the beginning balance sheet. Typically, this will be January 1, 20__.                                                                                  |
| Ending Date             | The date you compiled the ending balance sheet. Typically, this will be January 1 of the subsequent year.                                                                    |
| 1 Asset Name            | If your business owns assets in categories that are not listed, list any additional current assets in rows 8 - 9, and list any additional noncurrent assets in rows 15 - 16. |
| 2 Beginning             | The value of each asset on the date specified at the top of Column 2. For noncurrent assets, use the fair market value (FMV) for each category.                              |
| 3 Ending                | The value of each asset on the date specified at the top of Column 3. For noncurrent assets, use the fair market value (FMV) for each category.                              |
| Total Current Assets    | For each column, record the sum of rows 1 - 9.                                                                                                                               |
| Total Noncurrent Assets | For each column, record the sum of rows 10 - 16.                                                                                                                             |
| Total Assets            | Add Total Current Assets and Total Noncurrent Assets for each column.                                                                                                        |

## Net Worth Statement - Assets

| 1                                                        |                                           | 2                | 3             |
|----------------------------------------------------------|-------------------------------------------|------------------|---------------|
| Asset Name                                               |                                           | Beginning date:  | Ending date:  |
| <b>Current Assets</b>                                    |                                           | <b>Beginning</b> | <b>Ending</b> |
| 1                                                        | Cash on hand, checking, savings           |                  |               |
| 2                                                        | Marketable stocks and bonds               |                  |               |
| 3                                                        | Short-term notes receivable               |                  |               |
| 4                                                        | Accounts receivable (pg. 20)              |                  |               |
| 5                                                        | Prepaid expenses (pg. 20)                 |                  |               |
| 6                                                        | Supplies (pg. 10-13)                      |                  |               |
| 7                                                        | Apiary products (pg. 16-18)               |                  |               |
| 8                                                        | Other:                                    |                  |               |
| 9                                                        | Other:                                    |                  |               |
| <b>Total Current Assets</b>                              |                                           |                  |               |
| <b>Noncurrent Assets (Fair Market Value)</b>             |                                           | <b>Beginning</b> | <b>Ending</b> |
| 10                                                       | Honey bee colonies (pg. )                 |                  |               |
| 11                                                       | Equipment & machinery (pg. 23-27)         |                  |               |
| 12                                                       | Real estate improvements (pg. 29-30)      |                  |               |
| 13                                                       | Land (pg. 32-34)                          |                  |               |
| 14                                                       | Intermediate & long-term notes receivable |                  |               |
| 15                                                       | Other:                                    |                  |               |
| 16                                                       | Other:                                    |                  |               |
| <b>Total Noncurrent Assets</b>                           |                                           |                  |               |
| <b>TOTAL ASSETS (Current Assets + Noncurrent Assets)</b> |                                           |                  |               |

## Net Worth Statement - Liabilities

### Instructions

|                              |                                                                                                                                                                                            |
|------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Beginning Date               | The date you compiled the beginning balance sheet. Typically, this will be January 1, 20__.                                                                                                |
| Ending Date                  | The date you compiled the ending balance sheet. Typically, this will be January 1 of the subsequent year.                                                                                  |
| 1 Liability Name             | If your business has liabilities in categories that are not listed, list any additional current liabilities in rows 7 - 9, and list any additional noncurrent liabilities in rows 12 - 14. |
| 2 Beginning                  | The value of each liability on the date specified at the top of Column 2.                                                                                                                  |
| 3 Ending                     | The value of each liability on the date specified at the top of Column 3.                                                                                                                  |
| Total Current Liabilities    | For each column, record the sum of rows 1 - 9.                                                                                                                                             |
| Total Noncurrent Liabilities | For each column, record the sum of rows 10 - 14.                                                                                                                                           |
| Total Liabilities            | Add Total Current Liabilities and Total Noncurrent Liabilities for each column.                                                                                                            |
| Net Worth                    | Subtract Total Liabilities from Total Assets in each column.                                                                                                                               |

## Net Worth Statement - Liabilities

| 1                                                                       |                                          | 2                | 3             |
|-------------------------------------------------------------------------|------------------------------------------|------------------|---------------|
| Liability Name                                                          |                                          | Beginning date:  | Ending date:  |
| <b>Current Liabilities</b>                                              |                                          | <b>Beginning</b> | <b>Ending</b> |
| 1                                                                       | Credit card balance                      |                  |               |
| 2                                                                       | Line of credit                           |                  |               |
| 3                                                                       | Short-term loans (less than 1 year)      |                  |               |
| 4                                                                       | Accounts payable                         |                  |               |
| 5                                                                       | Accrued taxes & interest                 |                  |               |
| 6                                                                       | Principal due within 12 months           |                  |               |
| 7                                                                       | Other:                                   |                  |               |
| 8                                                                       | Other:                                   |                  |               |
| 9                                                                       | Other:                                   |                  |               |
| <b>Total Current Liabilities</b>                                        |                                          |                  |               |
| <b>Non-Current Liabilities</b>                                          |                                          | <b>Beginning</b> | <b>Ending</b> |
| 10                                                                      | Loans (portion due beyond 12 months)     |                  |               |
| 11                                                                      | Mortgages (portion due beyond 12 months) |                  |               |
| 12                                                                      | Other:                                   |                  |               |
| 13                                                                      | Other:                                   |                  |               |
| 14                                                                      | Other:                                   |                  |               |
| <b>Total Noncurrent Liabilities</b>                                     |                                          |                  |               |
| <b>TOTAL LIABILITIES (Current Liabilities + Noncurrent Liabilities)</b> |                                          |                  |               |
|                                                                         |                                          |                  |               |
| <b>NET WORTH = TOTAL ASSETS - TOTAL LIABILITIES</b>                     |                                          |                  |               |

## Farm Profit

The Income Statement summarizes the relationship between farm revenues (income from the sale of goods and services) and expenses (costs of producing and selling goods and services) over a defined period of time, usually a fiscal year. This financial statement provides information about a company's ability to generate profits. As such, it is also commonly called a Profit and Loss (P&L) Statement. For a farm business, annual profit is defined as the total value of production for a given year less the total cost of production in that year, illustrated in the following equation:

$$\text{Total Value of Production} - \text{Total Cost of Production} = \text{Farm Profit}$$

It is important to note that cash transactions do not always coincide with the exact moment when revenues are generated or when costs are incurred. For instance, apiary products produced in one business year may not be sold until the following year. Similarly, expenses incurred in 2017 may not be paid until 2018. Most farm businesses rely on the cash accounting method, in which they record transactions when the cash changes hands. However, the difference between total cash revenues and total cash expenses - termed Net Cash Farm Income - is not an accurate measure of farm profit:

$$\text{Total Cash Income} - \text{Total Cash Expense} = \text{Net Cash Farm Income}$$

In contrast to cash accounting, accrual accounting records business revenues and expenses when they are incurred, regardless of when cash changes hands. This accounting method is better suited to calculate profit. However, farms rarely use accrual accounting in day-to-day operations. For farms using the cash accounting method, managers can apply accrual adjustments at the end of the financial year to calculate the total value of production and total cost of production. The following equation is analogous to the first equation on this page, with NFIFO being synonymous to farm profit:

$$\text{Total Adjusted Income} - \text{Total Adjusted Expense} = \text{Net Farm Income From Operations (NFIFO)}$$

The Income Statement template on pages 50 - 51 records cash farm income and cash farm expenses, which can be found on the IRS Schedule F (Profit or Loss from Farming) or Schedule C (Profit or Loss from Business) tax form. The template also incorporates accrual adjustments to income and expenses, based on asset and liability values recorded earlier in this handbook.



## Income Statement

### Instructions

|                                      |                                                                                                                                                                                                                                                                                                                                             |
|--------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Financial Year                       | The 12-month period for which income and expenses are presented.                                                                                                                                                                                                                                                                            |
| Cash Farm Income                     | Record cash farm income from each source listed in rows 1 - 7.                                                                                                                                                                                                                                                                              |
| A. Total Cash Income                 | Add lines 1 - 7.                                                                                                                                                                                                                                                                                                                            |
| B. Home Consumption                  | Total value (approximate) of farm products used for home consumption or trade. For example, honey given to landowners as a form of rent.                                                                                                                                                                                                    |
| Accrued Income Adjustments           | For each category: <ol style="list-style-type: none"><li>1. List inventory values from the end of your financial year in column (a).</li><li>2. List inventory values from the beginning of your financial year in column (b).</li><li>3. Take the difference by subtracting the value in column (b) from the value in column (a)</li></ol> |
| C. Total Accrued Income Adjustments  | Add lines 8 - 12.                                                                                                                                                                                                                                                                                                                           |
| D. Total Adjusted Income             | Take the sum of A + B + C.                                                                                                                                                                                                                                                                                                                  |
| Cash Farm Expenses                   | Record cash farm expenses for each item listed in rows 13 - 35.                                                                                                                                                                                                                                                                             |
| E. Total Cash Expenses               | Add lines 13 - 35.                                                                                                                                                                                                                                                                                                                          |
| Accrued Expense Adjustments          | For each category: <ol style="list-style-type: none"><li>1. List the balance from the end of your financial year in column (a).</li><li>2. List the balance from the beginning of your financial year in column (b).</li><li>3. Take the difference by subtracting the value in column (b) from the value in column (a)</li></ol>           |
| F. Total Accrued Expense Adjustments | Add lines 36 and 37.                                                                                                                                                                                                                                                                                                                        |
| Depreciation Expense Adjustments     | List the annual depreciation expense for each category.                                                                                                                                                                                                                                                                                     |
| G. Total Depreciation Expense        | Add lines 38 - 40.                                                                                                                                                                                                                                                                                                                          |
| H. Total Adjusted Expenses           | Take the sum of E + F + G.                                                                                                                                                                                                                                                                                                                  |
| I. Net Cash Farm Income              | The value of A - E.                                                                                                                                                                                                                                                                                                                         |
| J. Net Farm Income from Operations   | The value of D - H.                                                                                                                                                                                                                                                                                                                         |

## Income Statement

Financial Year:

### INCOME

| Cash Farm Income - Numbers in ( ) refer to lines from IRS Schedule F        |                                                                                         |                  | Dollar Value        |
|-----------------------------------------------------------------------------|-----------------------------------------------------------------------------------------|------------------|---------------------|
| 1                                                                           | Sale of livestock (e.g. queens, nucs) and other items bought for resale (1a)            |                  |                     |
| 2                                                                           | Sale of honey, wax, raised livestock (e.g. queens, nucs), and other apiary products (2) |                  |                     |
| 3                                                                           | Cooperative distributions paid (3b)                                                     |                  |                     |
| 4                                                                           | Agricultural program payments (4b)                                                      |                  |                     |
| 5                                                                           | Crop insurance proceeds (6b)                                                            |                  |                     |
| 6                                                                           | Pollination services and other custom hire income (7)                                   |                  |                     |
| 7                                                                           | Other cash income (8)                                                                   |                  |                     |
| <b>A. TOTAL CASH INCOME</b> - Add lines 1 to 7                              |                                                                                         |                  |                     |
| <b>B. Total value of farm products used for home consumption or trade</b>   |                                                                                         |                  |                     |
| Accrued Income Adjustments - Numbers in ( ) refer to pages of this handbook |                                                                                         | (a) Ending Value | (b) Beginning Value |
| 8                                                                           | Inventory of honey bee colonies (pg. 9)                                                 |                  |                     |
| 9                                                                           | Inventory of supplies (pg. 12 - 15)                                                     |                  |                     |
| 10                                                                          | Inventory of apiary products (pg. 18 - 19)                                              |                  |                     |
| 11                                                                          | Inventory of accounts receivable (pg. 21)                                               |                  |                     |
| 12                                                                          | Inventory of prepaid expenses (pg. 21)                                                  |                  |                     |
| <b>C. Total Accrued Income Adjustments</b> - Add lines 8 to 12              |                                                                                         |                  |                     |
| <b>D. TOTAL ADJUSTED INCOME (A + B + C)</b>                                 |                                                                                         |                  |                     |

### EXPENSES

| Cash Farm Expenses - Numbers in ( ) refer to lines from IRS Schedule F |                                                                              | Dollar Value |
|------------------------------------------------------------------------|------------------------------------------------------------------------------|--------------|
| 13                                                                     | Cost of livestock (e.g. queens, nucs) and other items bought for resale (1b) |              |
| 14                                                                     | Car and truck expenses (10)                                                  |              |
| 15                                                                     | Chemicals (11)                                                               |              |
| 16                                                                     | Conservation expenses (12)                                                   |              |
| 17                                                                     | Custom hire (13)                                                             |              |
| 18                                                                     | Employee benefits (15)                                                       |              |
| 19                                                                     | Feed (16)                                                                    |              |
| 20                                                                     | Fertilizers and lime (17)                                                    |              |
| 21                                                                     | Freight and trucking (18)                                                    |              |

|                                                                                          |                                                                                      |                         |                            |
|------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------|-------------------------|----------------------------|
| 22                                                                                       | Gasoline, fuel and oil (19)                                                          |                         |                            |
| 23                                                                                       | Insurance (20)                                                                       |                         |                            |
| 24                                                                                       | Interest paid (21a + 21b)                                                            |                         |                            |
| 25                                                                                       | Labor hired (22)                                                                     |                         |                            |
| 26                                                                                       | Pension and profit-share plans (23)                                                  |                         |                            |
| 27                                                                                       | Rent or lease payments (24a + 24b)                                                   |                         |                            |
| 28                                                                                       | Repairs, maintenance (25)                                                            |                         |                            |
| 29                                                                                       | Seeds, plants (26)                                                                   |                         |                            |
| 30                                                                                       | Storage, warehousing (27)                                                            |                         |                            |
| 31                                                                                       | Supplies purchased (28)                                                              |                         |                            |
| 32                                                                                       | Taxes (29)                                                                           |                         |                            |
| 33                                                                                       | Utilities (30)                                                                       |                         |                            |
| 34                                                                                       | Veterinary, breeding, and medicine (31)                                              |                         |                            |
| 35                                                                                       | Other expenses (32)                                                                  |                         |                            |
| <b>E. TOTAL CASH EXPENSES</b> - Add lines 13 to 35                                       |                                                                                      |                         |                            |
| <b>Accrued Expense Adjustments</b> - Numbers in ( ) refer to pages of this handbook      |                                                                                      | <b>(a) Ending Value</b> | <b>(b) Beginning Value</b> |
| 36                                                                                       | Accounts payable (pg. 47)                                                            |                         |                            |
| 37                                                                                       | Accrued taxes & interest (pg. 47)                                                    |                         |                            |
| <b>F. Total Accrued Expense Adjustments</b> - Add lines 36 and 37                        |                                                                                      |                         |                            |
| <b>Depreciation Expense Adjustments</b> - Numbers in ( ) refer to pages of this handbook |                                                                                      |                         | <b>Dollar Value</b>        |
| 38                                                                                       | Annual depreciation on hive equipment (pg. 24)                                       |                         |                            |
| 39                                                                                       | Annual depreciation on general farm equipment, machinery, and vehicles (pg. 26 - 30) |                         |                            |
| 40                                                                                       | Annual depreciation on farm buildings and improvements (pg. 34)                      |                         |                            |
| <b>G. Total Depreciation Expense</b> - Add lines 38 to 40                                |                                                                                      |                         |                            |
| <b>H. TOTAL ADJUSTED EXPENSES (E + F + G)</b>                                            |                                                                                      |                         |                            |

## NET INCOME & EARNINGS

|                                                                                                            |                                         |  |
|------------------------------------------------------------------------------------------------------------|-----------------------------------------|--|
| <b>I. NET CASH FARM INCOME:</b> Total Cash Income (A) - Total Cash Expenses (E)                            |                                         |  |
| <b>J. NET FARM INCOME FROM OPERATIONS (NFIFO):</b> Total Adjusted Income (D) - Total Adjusted Expenses (H) |                                         |  |
| 41                                                                                                         | Nonfarm income                          |  |
| 42                                                                                                         | Family living expenses and income taxes |  |
| 43                                                                                                         | Loan principal payments                 |  |
| <b>K. NET EARNINGS (to be reinvested or saved):</b> NFIFO (J) + line 41 - line 42 - line 43                |                                         |  |